SG CAPITAL PARTNERS

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UNDERWRITING MANUAL

DSCR

INVESTOR CONNECT / INVESTOR PREMIER

FOR INTERNAL USE ONLY

8.11.2025

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1 OVERVIEW and UNDERWRITING CRITERIA

This Product Eligibility Policy outlines the parameter requirements for non-owner-occupied loans on residential properties to be sold to SG Capital Partners (“SGCP”). This document is an integral part of the loan underwriting review process and should be reviewed in conjunction with all potential fundings. Originators and sellers should become familiar with the contents of this document in its entirety.

The Product Eligibility Policy may not include all provisions or documents establishing the relationship between an originator or seller and SGCP, and is not intended to replace, modify, or otherwise alter the terms of a respective counterparty’s Mortgage Loan Purchase Agreement or any other applicable agreement.

SGCP seeks to purchase investment, non-owner-occupied loans that will be designated for business purposes only. All borrowers will be required to sign a Business Purpose & Occupancy Statement prior to funding declaring that the property is, or will be, for commercial business or investment purposes only. All business purpose loans delivered to SGCP must include a copy of the fully executed Loan Agreement, which can be found in SGCP’s closing document sets, accessed through a document vendor such as DocMagic, DocuTech or Encompass.

Qualification is determined solely based on debt service coverage ratio (DSCR) of the subject property. The loan must be eligible for treatment as a business purpose loan. As such, originators are not required to follow ATR, HPML, QM and TRID requirements.

All loans purchased by SGCP will be examined and evaluated to determine whether the proposed loans generally conform to these guideline parameters. The qualifying specifications and procedures are meant to serve as a principal foundation to qualify, and each borrower will be reviewed in its entirety on an individual basis. SG reserves the right to decline any loan that they believe is not in the best interest of the Borrower or does not meet the spirit of the guidelines.

Investor Connect loans that do not conform to the provisions of this Program Guide will be comprehensively reviewed by exception. All applicable mitigating and compensating factors to a policy exception must be fully documented and will be reviewed and considered prior to granting or denying any request for purchase approval.

All loans must be manually underwritten.
Schedule of real estate owned must be completed on the loan application for all properties showing on Credit or Fraud report
FNMA security instruments, notes, riders, addenda and special purpose documents can be utilized for loan documentation.
All Loans must include a third-party fraud detection report.
Loans eligible for sale to FNMA or FHLMC are not eligible for purchase.
All references to borrowers will also include Guarantors.
Items not covered herein should follow guidance from Fannie Mae

Federal, State, and Local High-Cost Loans are not permitted

2 PRODUCT ELIGIBILITY

2.1 AVAILABLE PRODUCTS

- 5/6 ARM (30- and 40-Year Amortization)
- 5/6 IO ARM (30- and 40-Year Amortization)
- 7/6 ARM (30- and 40-Year Amortization)
- 7/6 IO ARM (30- and 40-Year Amortization)
- 30 Year Fixed
- 30 Year Fixed IO
- 40 Year Fixed
- 40 Year Fixed I/O
- Closed-End Seconds – Refer to Closed-End Seconds Matrix for details

2.2 GEOGRAPHIC RESTRICTIONS

Georgia loans must be closed in an entity to be eligible under Investor Premier

2.3 ADJUSTABLE-RATE CRITERIA

PRODUCT	INDEX	MARGIN	INITIAL	PERIODIC	LIFE CAP	INTEREST RATE FLOOR
5/6	30 - day SOFR	5%	2%	1%	6%	Margin
7/6	30 - day SOFR	5%	5%	1%	6%	Margin

2.4 ASSUMABLE

ARM products are assumable after the fixed rate period with prior approval and qualification by the servicer.

2.5 MAX LTV

	MAX LTV/CLTV	INVESTOR CONNECT	INVESTOR PREMIER
Investor Premier - Condos	70%	N/A	X
Investor Connect – Condos	80%	X	N/A
First Time Investor	80%	X	N/A
30 and 40 Year Interest Only	80%	X	N/A
DSCR <1.0: 30 Interest Only	70%	X	Not Eligible
40 Year Amortization	80%	X	Not Eligible
No PPP	80%	X	Not Eligible
First Time Homebuyer (FTHB)	75%	X	Not Eligible
Properties Listed for Sale w/in the Last 12 months	70% (Cash-out)	X	X
Appraisal marked 'Suburban' but zoned 'Rural Residential'	80% (Purchase)	X	Not Eligible
	75% (Rate-Term)	X	Not Eligible
	65% (Cash-out)	X	Not Eligible
Declining Markets	5% reduction to max eligibility	X	X
Short-Term Rental Purchase	75%	X	Not Eligible
Short-Term Rental Refinance	70%	X	Not Eligible
Recently Inherited Properties	60%	X	X
Gift of Equity	70%	X	X

2.6 INTEREST ONLY

- Qualifying is based on interest only payment, property taxes, insurance, HOA. Interest Only Period – 10-year
  40 Year Interest Only = 10-year IO then 30-year amortization
  30 Year Interest Only = 10-year IO then 20-year amortization

2.7 PREPAYMENT CHARGES

Non-PPP states or loans without a PPP are not eligible for Investor Premier

Three Prepayment Penalty structure options are available.
1) Standard Prepayment Penalty term: 1,2,3,4, or 5-year term.
Penalty term of six months advance interest on the amount prepaid that exceeds 20% of the original balance of the note.
2) Flat Structure: 3-,4-, or 5-year prepayment term at a 5% flat rate
If within the loan term's prepayment period from the date the Security Instrument is executed, a full or one or more partial prepayments, and the total of all prepayments in any 12-month period exceeds 20% of the original Principal amount of the loan, the prepayment charge will be an amount equal to the flat rate based on the principal amount so prepaid.
3) Tiered Structure: 1,2,3,4, or 5-year term unless an alternative term is required by state or federal law.
If within the loan term's prepayment period from the date the Security Instrument is executed, a full or one or more partial prepayments, and the total of all prepayments in any 12-month period exceeds 20% of the original Principal amount of the loan, the prepayment charge will be an amount equal to the below example:

- The 5-year tiered prepayment penalty has a declining payment structure as follows:
  -If paid during the 1st year from the date hereof, 5% of the portion of such prepayment equal to the principal amount so prepaid
  -If paid during the 2nd year from the date hereof, 4% of the portion of such prepayment equal to the principal amount so prepaid

-If paid during the 3rd year from the date hereof, 3% of the portion of such prepayment equal to the principal amount so prepaid
-If paid during the 4th year from the date hereof, 2% of the portion of such prepayment equal to the principal amount so prepaid
-If paid during the 5th year from the date hereof, 1% of the portion of such prepayment equal to the principal amount so prepaid

- After 5 years no prepayment penalty will be applied to the loan

Disclaimer: This guide does not constitute legal advice, and sellers are responsible for ensuring that they are properly licensed and originating to proper regulatory guidelines.

2.8 LOAN AMOUNTS

- Investor Connect DSCR 1.0+ - Minimum $100,000
- Investor Premier - Min DSCR 1.25 for Loan Amounts $100k-$150k
- Investor Connect DSCR .75-.99 – Minimum $175,000
- Maximum eligible loan amount is $3,000,000
- Investor Premier – Max eligible loan amount is $1,500,000

2.9 AGE OF DOCUMENTS

- All credit documents including credit report and asset statements must be dated no more than 120 days prior to the note date
- Updated documentation may be required at underwriter discretion
- A 10-calendar day variance over the stated age of documents is allowed to accommodate closings
- Appraisal recert of value required after 120 days and new appraisal required at 180 days

3 BORROWER/BORROWING ENTITY/GUARANTOR REQUIREMENTS

3.1 ELIGIBLE BORROWERS

- U.S. Citizens
- First Time Homebuyer (Investor Connect only)
- First Time Investor
- Permanent Resident Aliens
- Non-Permanent Resident Aliens
- Inter-Vivos Revocable Trust
- Limited partnerships, general partnerships, corporations
  - Guarantor required
  - Non-profits – ineligible

3.1.1 FIRST TIME INVESTOR

- A First Time Investor is defined as a borrower who has not owned at least one commercial or residential investment property in the United States for at least 12 months in the last 3 years
- If one borrower on the transaction is not a first-time investor, first time investor guideline rules do not apply
- Max 80% LTV
- DSCR <1.0 not permitted
- Min 680 FICO
- Motivation letter required if property is purchased out of state from borrower's/guarantor's residence
- Borrower's living rent free or incomplete housing history, see 'Housing History' section

3.1.2 FIRST TIME HOMEBUYER

- Defined as not owning a property/rental in the United States for at least 1 year within last 7 years – Borrowers that have owned a property/rental in the last 7 years are not considered first time homebuyers
- Not eligible for Investor Premier
- If one borrower on the transaction is not a FTHB, no further restrictions apply

Investor Connect (FTHB):
- Max 75% LTV
- Min 700 FICO
- Min 1.0 DSCR
- Max 750k UPB
- Interest only and/or 40-year amortization – ineligible
- No exceptions allowed on the file
- Motivation letter required for purchasing investment and not owning a primary
- Rent-free ineligible

3.1.3 ELIGIBLE BORROWING ENTITY TYPES

- Eligible: LLC, Sole Proprietorship, LP, LLP, S and C Corp – must be U.S. based
    - Personal guarantor required - Personal Guarantor must also sign closing documents and disclosures
- Final loan docs may not be signed with a POA
- Non-profit 501 c3 – ineligible
- Inter-Vivos Revocable Trust
    - Permitted in accordance with Fannie Mae
    - Vesting in a trust requires Trust Cert
    - If using trust assets to qualify - Full trust documents are required, and borrower must be beneficiary of the trust
    - Trust Agreement/Verification is allowed in lieu of full trust docs with third-party asset documentation/bank statements to verify the assets in the trust
- Up to two entities allowed
    - Individual with > 25% ownership must sign personal guaranty
- Layered entities – Max 2 layers

ENTITY	REQUIREMENTS
Corporation or LLC	• The borrower is at least 25% or majority shareholder • Business entity limited to SGCP's 4 maximum of "owners" = members, partners, or shareholders of the entity Members • Members of the business entity that are NOT borrowers on the transaction do not need to sign in the capacity of an individual borrower • A POA may not be used when closing in an LLC or Corporation. A notarized certificate of authorization may be used. • Entity must be established and registered in United States

General/Limited Partnership	• Additional owners may also be required to acknowledge or execute loan documents depending on language within the Partnership Agreement
	• Validation of the entity's status through review of the following documentation:
	    ○ Annual Registration with the Secretary of State
	    ○ Certificate of Good Standing from the Secretary of State within 90 days of closing that reflects no issues
	• Verification of authorized agent
	• Entity must be established and registered in United States

3.1.4 PERMANENT RESIDENT ALIEN

- Permanent Resident Aliens are individuals who permanently reside in the United States
- A legible front and back copy of the borrower(s) valid Green Card

3.1.5 NON-PERMANENT RESIDENT ALIENS

A Non-Permanent Resident Alien is a non-U.S. citizen authorized to live and work in the U.S. on a temporary basis. Non-Permanent Resident Alien borrowers are eligible for Investor Connect only, subject to restrictions below. Not eligible for Investor Premier.

- Temporary Protected Status (TPS) associated with the borrower's country of origin must be in effect and has not been vacated on the USCIS website (www.uscis.gov) for the following: Temporary Protected Status (TPS), other types of temporary status, temporary stay, or parle associated with the borrower's country of origin. If the TPS or other types of temporary status, temporary stay, or parole of the country of origin has been vacated or shortened, the borrower is ineligible

- Copies of the borrower's valid passport and unexpired VISA permitting lawful entry into the United States is required
  - If VISA renewal is in process or delayed, provide application for extension or renewal (adjustment of status)
- Acceptable alternative documentation to verify classification is an I-797 form (Notice of Action) with valid extension dates and an I-94 form (Arrival/Departure Record). Borrower unable to provide evidence of lawful residency status in the U.S. are not eligible for financing. The borrower(s) must have a minimum of 2 years legal residency
- All parties involved in the transaction must be screened through exclusionary lists and must be cleared through OFAC's SND list
- Borrowers from OFAC sanctioned countries are ineligible

Borrowers below can be on title but can't be a guarantor on the loan:

- Borrowers with diplomatic immunity are ineligible
- DACA recipients are ineligible
- EAD cards without valid visas are ineligible

- Eligible VISA Types:
  - E1, E2, E3
  - G1, G2, G3, G4, G5
  - H1-H1-B, H1-C
  - L-1B, L-2
  - NATO 1-6
  - O1
  - R1
  - TN-1 Canadian NAFTA
  - TN-2 Mexican NAFTA

3.2 INELIGIBLE BORROWERS

- Administrative (GSE) Excluded Party lists
- Any parties to a transaction listed on HUD's Limited Denial of Participation (LDP) list, or the federal General Services
- Asylum applicants
- Borrowers involved in active litigation
- Borrowers with diplomatic immunity
- Borrowers without a valid Social Security Number
- DACA Recipients
- EAD Card without valid Visa
- Foreign Nationals
- Irrevocable, Land or Blind Trusts
- Vesting in retirement vehicles

4 ELIGIBILITY

- Borrower is financing the property solely for commercial purposes and is required to sign a Certification of Business Purpose/Non-Owner Occupancy
  - See **Exhibit 1** for SGCP Certification Form
- In addition to the (i) borrower certification of business purpose/non occupancy, and (ii) requirement to obtain rent loss insurance (6 months PITIA), underwriting staff must take additional steps as deemed necessary to further evaluate the reasonableness of the borrower's certification. Any red flags must be researched and resolved.
  - **No income or Employment (or retirement) information is required to be listed on the 1003**
  - See **Appendix A** for requirements on SGCP's **mandatory** pre-closing ownership and occupancy analysis

4.1 ELIGIBLE TRANSACTIONS

- Purchase
- Rate-Term Refinance
- Cash-Out Refinance

4.1.1 PURCHASE

- The lesser of the purchase price or appraised value is used to calculate LTV/CLTV.

- A copy of the fully executed purchase contract and all attachments and addenda should be included
- Inspection reports are not required unless the appraisal suggests further investigation (e.g., termite reports)
- Non-Arm's Length transactions are not permitted
- Unless the borrower is purchasing a multi-unit property, the subject property value should generally not exceed 75% of the property value of the borrower's current residence (own or rent)" In the event that it does, the Underwriter should review further for adherence to "Eligibility" section
- Sale and leaseback agreements will not be permitted to exceed 60 days from closing date
- Flip Transactions – see 'Flip Transactions' section
- Assignment of contract with finder's fees reflected on the purchase contract are not eligible to be included in the sales price or LTV/CLTV

4.1.2 RATE-TERM REFINANCE

- No seasoning required
- Limited cash to the borrower must not exceed the lesser of $2,000 or 2% the loan
- Payoff of a closed end or HELOC mortgage that has been in place for more than 6 months and/or not having any draws greater than $2,000 in the past 6 months is eligible
    - Withdrawal activity must be documented by a transaction history from the HELOC
- Borrowers financing the payment of real estate taxes that are more than 60 days delinquent is considered cash-out, per FNMA
- Refinance of a previous loan that provided cash-out, as measured from the previous Note date to the new Note date, and is seasoned less than 12-months, will be considered a cash-out refinance
- Borrowers refinancing a loan that includes accrued interest > 59 days not eligible for Rate-Term
- Subject property recently vacated by borrower requires a lease and proof of three months' rent or mortgage paid at new primary residence to consider the property under DSCR guidelines. Subject property refinance is ineligible if borrower is now rent free or residing in a different owned residence
- If the borrower has less than 6 months' existing mortgage seasoning prior to note date, LTV/CLTV will be based on the lesser of the original purchase price plus improvements or current appraised value. The prior settlement statement will be required for proof of purchase price. Proof of improvements is required
- There is no waiting period if the lender documents that the borrower acquired the property through an inheritance or was legally awarded the property (divorce, separation, or dissolution of a domestic partnership)
- If the borrower acquired the property within the last 12 months as an award, inheritance or other non-purchase transaction, the LTV/CLTV will be based on the current appraised value. The lender must obtain appropriate documentation to verify the acquisition and transfer of ownership

Existing Mortgage Seasoning	0-6 months	6.1-12 months
Rate-Term	Lesser of (PP + Improvements*) -or- Appraisal	Appraisal

*Purchase appraisal or original listing photos required along with schedule of improvements

4.1.3 CASH-OUT REFINANCE

- A Cash-Out Refinance transaction may pay off an existing mortgage(s) with a minimum of 6 months seasoning or used to create a new lien if the property is owned free and clear

Existing Mortgage Seasoning	0-6 months	6.1-12 months
Cash-out	Not permitted except for delayed financing	Appraisal

- Seasoning = borrower's existing mortgage closing date to note date
- There is no waiting period if the borrower acquired the property through an inheritance or was legally awarded the property (divorce, separation, or dissolution of a domestic partnership), max LTV 60%
- If the borrower acquired the property within the last 12 months as an award, inheritance or other non-purchase transaction, the LTV/CLTV will be based on the current appraised value, max LTV 60%. The lender must obtain appropriate documentation to verify the acquisition and transfer of ownership
- The borrower can receive funds at closing as long as they do not exceed the program requirements
- Subject property recently vacated by borrower requires a lease and proof of three months' rent or mortgage paid at new primary residence to consider the property under DSCR guidelines. Subject property refinance is ineligible if borrower is now rent free or residing in a different owned residence
- Refinances out of a Blanket is considered Cash-out

- Max Cash-out:

Investor Connect
Unlimited Cash-out

Investor Premier	
LTV/CLTV	**Maximum Cash-out**
>65%	$750k
≤65%	$1.5MM

4.1.4 CONSTRUCTION TAKE OUT/CONTRUCTION TO PERM

- The permanent financing of a construction loan is eligible with the following conditions:
  - If the lot was acquired 12 or more months before applying for the subject loan, the LTV/CLTV/HCLTV is based on the current appraised value of the property
  - If the lot was acquired less than 12 months before applying for the construction financing, the LTV/CLTV/HCLTV is based on the lesser of (i) the current appraised value of the property and (ii) the total acquisition costs
- A builder refinancing out of a construction loan, is limited to investment only, with a minimum 2-year pre-payment penalty
- Unsold builder inventory is ineligible
- Payoffs with accrued and unpaid interest > 59 days will be considered cash-out

4.2 DELAYED FINANCING

- Delayed financing is qualified and priced as a cash-out refinance
- Delayed financing (on properties purchased by the borrower with cash and owned <6 months) are permitted if the original transaction was arm's length.
  - provide settlement statement from purchase confirms no financing used to acquire
  - purchase funds are required to be documented
    - If gift funds were used, the borrower may only finance the amount put into the transaction, excluding gift
- The LTV/CLTV will be based on the lesser of the original purchase price or current appraised value. The prior settlement statement will be required for proof of purchase price
- An AIR compliant purchase appraisal may be used for this refinance if within the age of document guidelines

4.3 CONTINUITY OF OBLIGATION

- Rate-Term Refinance: At least one borrower on the new loan must be on title of the subject property at the time of initial application
- Cash-out Refinance: At least one borrower must have been on title to the subject property for at least 6 months at the time of the note date except for delayed financing transactions
  - There is no waiting period if the borrower acquired the property through an inheritance or was legally awarded the property (award, divorce, separation, or dissolution of a domestic partnership)
- Continuity of Obligation is met when a borrower is at least 25% owner of an entity and is refinancing from a natural person to an entity or vice versa

4.4 SUBORDINATE FINANCING

- New subordinate financing - ineligible
  - ARM subordinate financing is not allowed
- Existing subordination may be eligible on refinances
- All subordinate loans must be considered when calculating the Borrower's DSCR
- For closed-end fixed rate, fully amortizing simultaneous loans, the qualifying payment is the monthly payment

4.5 PROPERTIES LISTED FOR SALE

- Properties that have been listed for sale by the borrower, seasoning is from listing removal date to note date
- LTV based on the lower of the appraised value or lowest listing price in the last 12 months
- Unsold builder inventory is ineligible
- Properties listed for sale at application date are ineligible

- Online real-estate sites like Zillow, RedFin, Realtor.com, etc. should be reviewed to confirm listing activity and not solely rely on the appraiser

Listed for Sale	PPP Term/ LTV	0-6 months	6.1-12 months
Rate-Term no Pre-payment Penalty (PPP)	N/A	Not Permitted	Pre-approval
Rate-Term w/ PPP	Min 2 yr. penalty	Permitted	Permitted
Cash-out no PPP	Max LTV 70%	Not Permitted	Pre-approval
Cash-out w/ PPP	Min 2 yrs. and max LTV 70%	Permitted	Permitted

4.6 FLIP TRANSACTIONS

- On a purchase transaction when the home is being resold within 180 days of seller's purchase date), the transaction is considered a flip (based on the day the borrower signs an initial purchase agreement)
- Flips with resale prices in excess of the following will require pre-approval, unless the seller acquired the property in a private sale not exposed to any multiple listing service:
    - More than 10% increase within 90 days
    - More than 20% increase from 91 to 180 days
- Current purchase transaction must be listed with a realtor on Multiple Listing Services
- Bank owned REO and corporate relocations are eligible and not considered a flip transaction

4.7 1031 EXCHANGE

- Funds held by a 1031 administrator/agent are permitted for down payment and closing costs
- Allowed on investment purchases only
- Reverse 1031 exchanges not allowed
- Must follow Internal Revenue Code Section 1031
- Excess proceeds cannot be used to satisfy reserve requirements unless liquidated
- Documented by accommodator instructions, fully executed exchange agreement at closing, and settlement statement
- NOTE: 2-4-unit properties where one of the units is occupied by the customer are not considered investment properties and therefore are not eligible

4.8 INELIGIBLE TRANSACTIONS

- Construction Loans
- Land Contracts
- Non-Arm's length
- Temporary Buydowns
- Builder Bailout & Model leasebacks
- Conversion Loans
- Lease with option to purchase
- Community down payment assistance / equity sharing
- Borrower/builder refinance of construction loans without subject loan prepayment penalty
- Refinance of unsold builder inventory
- Reverse 1031 exchanges

5 COMPENSATING FACTORS

Including but not limited to the following:

- FICO score above minimum by 20 points or higher
- DSCR above minimum by .15 or higher
- Reserves above minimum by 6 months or higher
- 0 X 30 X 24-housing history
- Experienced Investor (Greater than 3 current rentals)
- LTV below max by 5% or higher
- Greater than 5 years ownership seasoning on subject property (refinances only)

6 CREDIT ELIGIBILITY

6.1 CREDIT EVENT

- Credit Event = Foreclosure, Short Sale, Deed in Lieu, Default Modification, Notice of Default, Single Bankruptcy, or 120+ Delinquent

  - Investor Connect - 3 years seasoning required
  - Investor Premier - 4 years seasoning required
- Events include all occupancy types – Primary, 2nd Home & Investment Properties
- Seasoning is from the date of discharge or property resolution (completion date), as of the note date
- Modification commences at inception
- Foreclosures included in bankruptcy permitted based on BK discharge date if the borrower has vacated the property
- Timeshares with delinquencies are treated as installment loans and not a credit event
- LOE required for any recent credit event less than 4 years
- Events seasoned less than 4 years require the borrower to have 0x30x12 evidenced in the most recent 12 months
- Event is considered if property is owned by borrower, even if not on note
- Multiple credit events within the 4 year lookback are not permitted; Multiple events greater than 4 years are eligible but unlikely to be paired with an exception
- Multiple Bankruptcies, regardless of seasoning, are ineligible
- A borrower who holds title only to a property that has a credit event is considered the borrower's credit event and subject to these guides

6.2 BANKRUPTCY

- Investor Connect - 3 years seasoning required
- Investor Premier - 4 years seasoning required
- Single bankruptcy including Chapter 7, 11, and 13 - seasoning based on discharge or dismissal date
- Cash-out cannot be used to settle; BK must have been settled prior to application
- Multiple BK filings, regardless of when they occurred, are not eligible (an amended filing is not considered multiple filings)

6.3 HOUSING HISTORY

- 1x30x12 (no rolling)
- If there is a Credit Event seasoned less than 4 years, the borrower must have 0x30x12 evidenced in the most recent 12 months
- Only one borrower needs to meet housing history requirement
- All borrowers must be current on mortgage or rent at loan application
- Property tax liens and delinquent HOA dues at application will require pre-approval
- Housing history required for Primary and subject property refi. Other REO, not reported on credit, no mortgage rating required
  - Although not required, if appearing on credit report, housing delinquencies can't be ignored and must satisfy the 12-month lookback rules above
- Institutional VOM for refinances of construction loans require payment ledger
- All refinances require pay history on subject property
- Open and active mortgage(s) reporting on initial credit for minimum 12 months satisfies housing history requirements
- No open and active mortgages reporting on initial credit will require pre-approval, except in the following circumstances:
  - The borrower owns a property free and clear and provides evidence that property taxes are paid current
  - The initial credit report shows a minimum of 12 months of previous mortgage history, active within the last 12 months
  - A private VOM and 12 months of bank statements, cancelled checks, or bank debits are provided
  - Borrower lives rent free from spouse or has title-only ownership and provides an institutional VOM or 12 months of bank statements, cancelled checks, or bank debits
  - 12 months proof of payment via cancelled checks, bank debits (highlighted on statements) or institutional VOR/VOM can be used to satisfy housing history. Carbon copies or handwritten rent receipts are not acceptable as bank records
  - Credit supplements completed by an institution is acceptable; Private lien holders/landlords are ineligible
- A borrower who sold a home and is temporarily staying rent free until the purchase of a new home is not considered an incomplete housing history. Must document most recent 12-month history prior to the sale of departing residence

6.4 FORBEARANCE OR DEFERRAL

- Borrowers with a natural disaster or non-financial hardship related forbearance or deferral on primary or subject property, must have completed the program and made at least two months payments for a Purchase or Rate-Term

Refinance and 6 months payments for a Cash-out Refinance. Documentation from the servicer, credit bureau or other documentation of the completion is required

- The deferred balance may be paid off with the subject property refinance. Primary home in forbearance is ineligible even if subject property is non-owner occupied. Other Real Estate owned limited to 1 property in forbearance is eligible

6.5 BALLOON PAYMENT PAST DUE

- A past due balloon payment is treated as a delinquency (1 x 30) and not a housing event, but only within 180 days of maturity
- Transaction histories showing payments made and applied on time are considered to have been extended and not considered delinquent

6.6 CREDIT REPORT DETAIL

- A tri-merged in file credit report including scores from Experian, Transunion and Equifax is required. A minimum of two scores must be reported
- Credit Report is good for 120 days from the note date
- Disputed accounts may require an LOE. An updated credit report not required
- All mortgage accounts > 1 x 30, each within 2 years of closing require a full explanation
- Delinquent credit belonging to ex-spouse can be excluded if late payments occurred after the divorce/separation, and divorce decree/separation agreement indicates derogatory accounts belong solely to the ex-spouse

6.6.1 CREDIT REPAIR/RESCORE

- No private credit repair companies are allowed
- Rapid rescore of credit permitted for confirmation of pay down and/or payoff of debt and correction of reporting errors
- Updated credit score permitted for qualifying

6.6.2 SECURITY FREEZE

- A credit freeze may remain if it is reported under one bureau only and a minimum of two scores are present. More than one frozen bureau requires the freeze to be lifted by the borrower and a new report provided

6.6.3 CREDIT COUNSELING

- Borrowers currently enrolled in credit counseling or debt management plans are not permitted

6.6.4 TRADELINES

- If the qualifying borrower has three credit scores, the minimum tradeline requirement is waived for all borrowers
- Each borrower must have 2 tradelines or joint borrowers must have a total of 3 tradelines combined, rated at least 12 months, with activity in the last 24 months
- Tradeline may be opened or closed
- Eligible tradelines cannot have any derogatory history in the previous 24 months
- Current housing not reporting on credit can be considered an open trade if supported by bank records (cancelled checks, debits)
- No authorized user accounts may be used to satisfy minimum tradelines
- Non-traditional credit is not allowed as an eligible tradeline

6.7 CREDIT SCORES

- Highest Mid FICO score is used to qualify
  - Use highest mid FICO of any guarantor if more than 1 guarantor
- Each borrower's 'Credit Score' is the middle of three or the lesser of two for any borrower
- No borrower can have a middle FICO score less than 620
- For refinances, the use of the highest mid score is only eligible if that borrower meets continuity

6.8 JUDGEMENTS, LIENS, CHARGE-OFFS, COLLECTIONS

- All Judgments affecting title or liens affecting title must be paid
- Non-title charge-offs and collections open <2 years and greater than $10,000 (individually or aggregate) must be paid
- Medical collections less than $50,000 are not required to be paid

- IRS tax payment plans approved by the IRS are permitted if current and do not carry a lien on any property

7 DEBT SERVICE COVERAGE RATIO (DSCR)

- DSCR is calculated by taking the lower of the subject property's market rent disclosed on the appraisal or the lease rental agreement divided by the monthly PITIA housing payment. See 'Rent Qualification' section.
- PITIA - principal, interest, taxes, insurance, and homeowner's association dues
- Interest Only loans are qualified on the ITIA payment
- Minimum DSCR of .75 is required for Investor Connect
  - Min $175k loan amount; 40 yr. and 40 yr. IO not permitted
  - >70%: 30 Year Fixed only
- Investor Premier requires a minimum DSCR of 1.0
- See 'Short Term / Variable Rental' section

8 RENT QUALIFICATION

- Market rent is determined by the appraisal comparable rent schedule
- Rent qualification is lesser of current lease agreement or 100% of appraisal market rent schedule for annual tenants, except:
  - Refinance Transactions: If current lease exceeds market rent, the borrower may use that amount up to 120% of the market rent with the most recent 3 months of evidence of rent receipts
    - If the current lease is less than the market rent with ≤ 6 months remaining on the lease, market rent up to 120% of lease may be used
  - Purchase Transactions: Vacant properties use 100% of market rent or if the current lease is less than market rent with ≤6 months remaining on the lease, the market rent up to 120% may be used
  - 2-4 Units – Rent qualification is the lesser of each individual unit's current lease agreement or individual unit's market rent. (Borrower may use up to 120% as stated above)
- See 'Short Term / Variable Rental' section

9 LEASE REQUIREMENTS

- A Lease or the lower of 1007 is required except for the scenarios below or covered in the 'Rent Qualification' section. In these instances, market rent should be used to qualify
  - Purchase transactions
  - If using third-party short-term Statements
  - Refinances if the property has recently completed rehab or is listed for rent
    - Proof of recently completed rehab or listing required
- Properties leased to family members are not eligible
- Expired Leases will be considered to have renewed automatically with 1 month's evidence of rent receipt at the lease amount
- Leases that permit subletting as a short-term rental (STR) not permitted

9.1 SHORT TERM/VARIABLE RENTAL

- Investor Connect Only
- Property Guard report required for all short-term rentals. The report must confirm the borrower has all permits necessary to operate a STR and city, county, state municipalities allow STRs

PURCHASE

- AirDNA must be used for all STR purchases
- 1007 with short-term or long-term rents to qualify is ineligible
- 80% of the estimated gross receipts will be used to determine the qualifying rental income
- Min DSCR 1.1 using AirDNA's 'Revenue Calculator/Rentalizer' tool
- Max 75% and minimum 1 year experience operating a short-term rental in the past 12 months
- Min Score 700
  - AirDNA Revenue Calculator reports must meet the following requirements
    - Revenue Calculator:

- Only allowed for purchase transaction
- Must use Default Comps and can't change the initial output whatsoever
- Forecast Period must cover 12 months and be dated 90 days within the Note date
- The occupancy rate must be >50%
- Must have four comparison properties within two miles of the subject property, same zip code, or same AirDNA submarket
- Must be generally similar in size, room count, availability, and occupancy
- Income calculation
    - Annual revenue x 80%/12

- Property Tax Escrow required
- 2–4 unit properties and condos are ineligible (SFR detached only)

REFINANCE:

- Min DSCR 1.0 – calculated based on average deposits over 12-month history, including zero deposit months, x 80%
- Examples: Web based Airbnb – VRBO – HomeAway – Flip Key (no private property managers)
- 80% of the actual receipts will be used to determine the qualifying rental income
- AirDNA 'Revenue Calculator/Rentalizer' tool and 1007's are not allowed for Refinances
- Max LTV 70% and minimum 1 year experience operating a short-term rental in the past 12 months
- Min Score 700
- Short-term rental statements must clearly identify the subject property by address. Property ID # and property description alone is not sufficient
- Property Tax Escrows required
- 2-4 unit properties and condos are ineligible (SFR detached only)

10 ASSET DOCUMENTATION

- Asset Statements
    - 1 month or 1 quarterly investment statement
        - Statements not required for Cash-out transactions which satisfy reserves
- FNMA approved third party direct pull services are eligible
- Exchange traded Stocks/Bonds/Mutual Funds – 100% may be used for reserves
- Vested Retirement Accounts – 100% may be considered for reserves
- If needed to close, verification that funds have been liquidated (if applicable) is required
    - If borrower has >20% of funds needed to close remaining in the account, documentation of liquidation is not required
- Secured borrower funds are allowed for down payment and closing cost (ex: HELOC or OREO)
- Asset statements for closing and reserves do not require access letters for non-borrowing parties
- Non-borrowing title holders or members of LLC/entity contributing assets are not considered a gift
- Earnest money deposit – Follow FNMA requirements. If needed to meet minimum borrowers' contribution, provide documentation
- A borrower, who is also the realtor on the subject property, may use commission earned (commission must be market rate – max 3%) towards the funds to close requirement
- Builder profits are not allowed
- SBA loans or paycheck protection funds may not be used as income, assets, down payment, closing costs, or reserves

10.1 BUSINESS FUNDS

- Business accounts may only be used to meet down payment and/or reserve requirements if:
    - 100% ownership of the business; OR
    - Shared ownership requires an access letter from partners allowing the use of the business funds by the borrower

10.2 GIFT FUNDS

- Purchase transaction only
- Minimum Borrower Contribution
    - $\leq$ 75% LTV - No minimum contribution required
    - > 75% LTV - Borrower must have 5% of their own funds documented but not required to use
    - If the minimum borrower contribution % is not used towards the down payment, those funds can be used towards reserves
- Gift funds are not permitted for reserves
- Only gifts from family members are allowed

- Non-borrowing titleholder or member of the LLC/entity who is contributing funds is not considered a gift, no gift letter required
- Gift of Equity from a family member is allowed up to 70% LTV/CLTV
    - Subject property mortgage rating from seller is required. Must be 0x30x12 and no DQ taxes
    - Must be current rental/tenant occupied
    - Minimum 1.0 DSCR

10.3 LIFE INSURANCE CASH VALUE

- Life insurance policy current cash value or loan against the cash value may be used for down payment, closing costs or reserves

10.4 FOREIGN ASSETS

- Funds required for down payment and closing costs must be held in a US bank and have been seasoned a total of 60 days total between abroad and in the US
- Funds in foreign accounts for reserves do not need to be moved to US accounts

10.5 BITCOIN (CRYPTO CURRENCIES)

- Allowed for down payment, closing costs and reserves with evidence of ownership and liquidation to US dollars

10.6 SALE OF PERSONAL ASSETS

- Proceeds from the sale of personal assets are an acceptable source of funds for the down payment, closing costs, and reserves provided the individual purchasing the assets is not a party to the property sale transaction or the mortgage financing transaction. Documentation required supporting borrower ownership of the asset, independent valuation of the asset, ownership transfer of the asset and borrower's receipt of sale proceeds

11 RESERVES

DSCR ≥1.0
≤ 1.5MM and ≤70% LTV – No reserves
≤ 1.5MM and >70% LTV – 6 months
> 1.5MM – 9 months

DSCR <1.0
≤1.5MM – 6 months
>1.5MM – 9 months

Cash-out – 6 months required

- Reserves are calculated off actual P&I payment plus Taxes, Insurance, and HOA (PITIA)
    - Interest only – calculated off the interest payment plus Taxes, Insurance and HOA (ITIA)
- Cash-out may be used to meet reserve requirements
- Gift funds are not permitted for reserves
- Restricted stock is ineligible for to be used for reserves
- A variance may be allowed but never less than 3 months less than program requirements with underwriter justification and compensating factors
- No additional reserves needed for additional financed properties
- If multiple loans to one borrower, reserves are based on the greater PITIA/ITIA for all properties

12 INTERESTED PARTY CONTRIBUTIONS (IPCs) / SALES CONCESSIONS

- IPCs are costs that are normally the responsibility of the property purchaser that are paid directly or indirectly by someone who has a financial interest in the sale or transfer of the subject property
- Maximum Interested Party Contributions 6% of purchase price
- Excess IPCs must be netted from the purchase price for LTV qualification
- All IPCs must be properly disclosed in the sales contract, appraisal, or addendum and HUD-1/Closing Disclosure
- IPCs may only be used for closing costs and prepaid expenses, no cash credit

13 GUARANTY

SGCP requires all of its entity borrowers to submit their loan application with a guarantor subject to the following requirements:

- The guarantor must be an individual person and not an entity
- A guarantor is required to be a significant owner (25% or greater) of the entity and is subject to the same FICO and background checks as individual borrowers
- A separate guaranty form is not required if the borrower(s) is signing the note on behalf of both the LLC as the borrower and also as an individual guarantor. Additional signature line must indicate "as guarantor"
- POA is not acceptable. Closing documents must be personally signed by the guarantor. Permitted for individual borrower, not permitted for cash-out refi
- An OFAC search is required for borrowers, guarantors and any member of the borrowing entity owning 25% or more
- See Exhibit 2 for sample guaranty

14 BACKGROUND CHECK

All Loans must include a third-party fraud detection/background report on the borrowing entity and the guarantor. Report findings must cover standard areas of quality control including but not limited to borrower validation, Social Security verification, OFAC, Patriot Act and property information (including other real estate owned).

15 ENTITY IDENTITY REVIEW PROCESS

The seller will review entity documents to ensure the borrowing entity is duly formed with full authority to conduct real estate transactional and borrowing activity in the state of formation or proper foreign registration documents in business is being performed. Furthermore, entities with more than 1 member must provide evidence that the individual signing on behalf of the borrowing entity has the authority to conduct real estate transactions. Confirmation of good standing status must be reviewed on state websites to ensure borrowing counterparties are current on all state taxes and fees; in the state of formation and/or state business is being performed. Any entity must be in good standing and provide proper formation.

Borrower Entity Requirements:

- Allowable Entity Types: LLC, Sole Proprietorship, LP, LLP, S and C Corp, LLP
- At least one qualifying individual with $\geq$25% interest must sign a personal guarantee

Entity documentation:

- Operating Agreement/Bylaws or equivalent document based on state requirements, must include an authorization to encumber real properties and signing authority
- Certificate of Formation/Articles of Organization
- Certificate of Good Standing or equivalent document
- Certificate of Foreign Qualification or other qualification to operate in the state where business is being conducted (If the entity is formed in a state other than where business is being performed)
- EIN/W9 required

16 TITLE INSURANCE

- Satisfactory title insurance coverage must be obtained for all loans confirming first lien position and no associated liens with the property including but not limited to mechanics, municipal, HOA, etc.
- The amount of coverage must be at least the amount of the original principal balance
- All applicable title endorsements must be included in the title policy
- Title policy affirmatively insures ingress and egress, and against encroachments by or upon the Mortgaged Property or any interests therein

17 PROPERTY INSURANCE

- A Commercial, Landlord or rental dwelling policy with rent loss coverage is required (6 months PITIA or ITIA for IOs)
  - 6-months additional reserves beyond the program minimum are allowed in lieu of rent loss coverage
- Blanket policies covering the subject property are permitted

18 PROPERTY TAX ESTIMATES

- New Construction: Property taxes should be calculated using 1.5% of sales price for qualification (1.25% in California) or documented tax rate from municipality

- Purchase and Refinance: Use current tax amount per title or tax card
  - CA Purchases use 1.25% of purchase price or documented tax rate from municipality. Do not use property tax amount of current owner

19 PROPERTY REQUIREMENTS

19.1 APPRAISAL

- 1 full appraisal required for all transactions
- An appraisal prepared by an individual who was selected or engaged by a borrower, property seller, real estate agent or other interested party is not acceptable
- Transferred appraisals are acceptable, unless ordered by borrower or affiliate of the property seller.
- Form 1007 Schedule of Rents is required for all loans on Single Unit residences
- For 2-4-unit properties, a FNMA 1025 Small Residential Income Property Appraisal Report is required
- Interior inspections required, including photos, according to USPAP guides
- Legal non-conforming zoned properties must indicate that the subject property can be rebuilt if it is severely damaged or destroyed
- Negative property influences must be disclosed and adjusted accordingly by the appraiser. Including but not limited to: Water Tower, Cell Tower, Gas Station, Railroad Tracks, Landfill/Dump, Auto Repair, Auto Sales, Highway Overpass, On- & Off-Ramp, Billboards/Advertisements, Airports, Hospitals, Police & Fire Stations
- Properties with significant negative influences are generally not ineligible. Characteristics including but not limited to: locations in areas with high foreclosure or distressed sale activity, street scenes with excessive litter, or proximity to boarded homes
- Properties with unpermitted additions: appraiser to determine if addition is completed in a workman like manner
- Hybrid appraisals are allowed. See 'Hybrid Appraisal' section.
- Declining Markets requires a 5% LTV reduction from max borrower qualifies for; Floor: 75% Purchase; 70% Refinance
- SG reserves the right to review all valuation reports and determine if the subject property value is supported. A desk review variance of 0.0% should never be used as a compensating factor
- Truncating to meet acreage limits is not permitted
- ROVs for value or rent are required to be submitted to SG for preapproval
- Appraisal Requirements:
  - Appraisal should conform to Fannie Mae's guidance on appraisals including but not limited to Definition of Market Value, Lender Responsibilities, Unacceptable Appraisal Practices, etc.
  - Minimum of 2 comparable properties that were exposed to the MLS
  - Generally, it should have a minimum of 2 comparable properties under 1 mile unless adequately explained
  - Excessive line, net, and gross adjustments should be heavily scrutinized
- *****Refer to SG Capital's exclusionary list of appraisers and interested parties found in the SG Resource Document. Please reach out to your sales rep for questions*****

19.2 REVIEW APPRAISAL

- A secondary valuation review product is required for all loans
- SGCP will accept one of the following review products:
  - **Fannie Mae Collateral Underwriter (CU) or Freddie Mac Loan Collateral Advisor (LCA)** with a score of 2.5 or less, documented in file with a copy of the Submission Summary Report (SSR)
    - If the score exceeds 2.5, an additional secondary valuation product is required
    - If both CU and LCA are run, they must be done at the same time; only one needs to have a passing score
  - **Desk Review Product** from one of SGCP's approved vendors that reports a value within +/-10% of the original appraisal value.
    - Approved Desk Review Vendors:
      1. Consolidated Analytics
      2. Clear Capital
      3. ServiceLink
      4. Stewart Valuation Intelligence, formerly known as Pro Teck
      5. Summit Valuations
    - If the desk review product reports a value outside of the allowed variance from the original appraisal value or is unable to determine a value, sellers must obtain a field review or second appraisal

- **Field Review** that reports a value within +/-10% of the original appraisal value
  - Field review may not be completed by the same appraiser or appraisal company as the original appraisal report
  - If the field review reports a value outside of the allowed variance from the original appraisal value, sellers must obtain a second appraisal
- **Second Appraisal**
  - May not be completed by the same appraiser or appraisal company as the original appraisal report
  - When two appraisals are obtained for a loan, no additional review product is required. LTV must be calculated based on the lower of the two appraisal values

19.3 Hybrid Appraisal

A hybrid appraisal is a type of desktop appraisal in which the inspection portion and report creation are handled by two separate parties. The work of physically inspecting the property is handled by a third party other than the appraiser, this can often be another licensed appraiser, a home inspector, or some other real estate professional. They gather all the property information as well as photos and transfer the data to a state licensed or certified appraiser who then creates a desktop valuation based on additional research of the property and the market in conjunction with the information supplied from the inspection.

Eligible Programs	All Programs	
Approved Vendors	SGCP Approved Vendors	
Hybrid Appraisal Type	Purchase, Rate-Term, Cash-out	Interior Hybrid Appraisal signed by a state licensed/certified appraiser. Market Rent and Rental Comparable Properties Required
Max Loan Amount	$1,500,000	
Min FICO	680	
Property Types	Eligible	Ineligible
	• SFR • Condo • PUD	• Rural • Leaseholds or Properties on leased land • Irregular or non-residential zoning • Atypical or extremely custom homes • Properties on acreage - 5+ Acres • Properties in need of major repairs • Condotels • New construction PUDs / Condos • Properties subject to inspection
Max LTV/CLTV	**Transaction Type**	**Max LTV/CLTV**
	Purchase	Max 70% LTV/CLTV
	Rate-Term	Max 65% LTV/CLTV
	Cash-out	Max 60% LTV/CLTV
Compliance	Both interior and exterior hybrid products offered are FIRREA compliant as the actual valuation product delivered is signed by a state licensed or certified appraiser.	

20 PROPERTY TYPES

Eligible	• SFR/Condo/PUD • 2-4 Unit • Modular/Prefabricated/panelizes or sectional housing • Warrantable Condo • Non-Warrantable Condo	• Investor Connect - 10 Acre Maximum • Investor Premier – 5 Acre Maximum • Minimum Square Footage – 500 sq ft per unit– No kitchenettes • Mandatory Country Club Fee: Cannot exceed 10% of the purchase price (golf resort)
Ineligible	• Assisted Living/Continuing Care Facilities • Boarding Houses/Individual room leases • Builder Model Leaseback • C5 or C6 property condition grades • Commercial Zoned, except Condo • Community Land Trusts (Can't refi out)	• Log Homes or Log Home Characteristics • Manufactured Homes • Mixed Use properties • Properties under construction • *Mandatory Rental Pools • Rowhouses

	• Condotels • Co-Op • Fractional Ownership/Time Shares • Geodesic Domes • Native American Leased Land • Lava zones (unless adhered to FNMA) • Leased land if lease term does not exceed term of loan by 5 years	• Shouses • Tenants in Common • Unique Properties • Working Farms • Zoning violations • Live/Work Condos • Rural Properties • Industrial zoning • Builder Inventory

*A rental pool in which the HOA also requires a certain # days the property needs to be made available for the HOAs rental team to offer out is ineligible.

20.1 CONDOS

- This section applies to both Warrantable and Non-Warrantable Condos
- UW attestation clearly stating whether the project is warrantable or non-warrantable must be delivered with the file (A comment on the 1008 suffices)
- The condo project review must be in accordance with the FNMA Seller Guide
  - Must ensure there are no Ineligible Projects characteristics as defined by Fannie Mae, including projects in need of critical repair (such as a project that failed to pass state, county, or other jurisdictional mandatory inspections or certifications (such as the Florida 30-Year Certification) specific to structural safety, soundness, and habitability), or the project would be considered non-warrantable and the non-warrantability characteristic must be listed as allowed per the below Non-Warrantable Condos eligibility table
- Seller to perform project review and designate as warrantable/non-warrantable
- State Condominium Requirements:
  - California **Balcony Bill – SB326**: An inspection is required for projects with wood deck, balcony, stairway, walkway, or railing elevated more than 6 feet above the ground. Projects with an unacceptable or no inspection are ineligible
  - Florida - Projects over 30 years old or 25 years if within 3 miles from the coast, a structural inspection within every 10 years is required for projects 3 stories or higher
    - Inspection must confirm no conditions severe enough to affect the safety, soundness, structural integrity or habitability of the improvements
    - Projects with unacceptable or no inspections are ineligible

No Project Review	• Detached condos • 2- to 4-unit projects
Limited Review for Established Projects <u>except</u> Florida	• Non-Owner: **≤ 75%** LTV/CLTV
Limited Review for Established Projects in Florida	• Non-Owner: **≤ 70%** LTV/CLTV
Full Review	• All new projects • Project ineligible for limited review

20.2 NON-WARRANTABLE CONDO

Non-Warrantable Condos – Limited to two (2)	
Allowable Features:	
Presale	At least 30% of the units must be sold or under bona fide contract
Investor Concentration	Up to 70% of units can be tenant occupied
Commercial Space	Up to 50%
Recreational Leases	Eligible
Single Entity Ownership	A single entity can own up to 30% of units
Delinquent HOA	Up to 25%
Master Coverage Deductible	Up to 10% allowed
Reserves	<10% replacement and/or maintenance, but never less than 5%
Mandatory Memberships	Cannot exceed 10% of purchase price
Ineligible Features/Requirements for Non-Warrantable Condos:	
Material Litigation - Structural/Functional litigation against developer	Ineligible
Insurance Coverage	Coverage amount less than the full replacement amount is ineligible (Actual Cash Value is not permitted)
Newly Converted - Non-full gut rehabs	Ineligible
Flood Insurance	Projects in a flood zone with no master flood coverage is ineligible. Borrower individual policies are not
Project Completion	Project must be 100% complete and HOA turned over

20.3 ACCESSORY DWELLING UNITS – ADU

- Appraiser to confirm ADU is typical to the area with supporting comparable properties
- Rental income may be used with supporting appraisal comparable which contains permitted accessory units, Appraisal market rents survey, and lease with 1 month evidence receipt of income
  - Purchase – Borrower to provide attestation regarding their intentions to rent the ADU
- Unpermitted ADUs must be completed in a workman like manner and conform to the subject property. No rental income may be used to qualify
- Conforms to all zoning laws/regulations
- Minimum 400 sq. ft.
- 2 ADUs allowed on SFRs
- Not permitted on four-unit properties
- Manufactured Home ADU's are not permitted

20.3.1 RURAL / AGRICULTURAL PROPERTIES – NOT PERMITTED

A property is generally considered rural when any of these characteristics are present:

- Zoned Rural, RA, Agricultural, or no zoning
- Appraisal is marked Rural
- No paved service road

Properties with appraisals marked 'suburban' but zoned 'Rural Residential' are allowed with Max LTVs:

- 80% Purchase
- 75% Rate-Term
- 65% Cash-out

20.3.2 COMMERCIAL INFLUENCE

Ineligible Properties near Commercial Influence:

- Environmental Hazards with potential impact to health and safety
- Industrial factory
- Located in an area not conforming to the neighborhood (i.e., few residential properties in density)
- Power plants

Appraisal Requirements for Homes near Commercial Influence

- Minimum 1 comparable with similar commercial influence

- Commercial influence adjustments if all comps are not located within the commercial influence

21 TITLE AND CLOSING

- Short form title policies are allowed
- Preliminary title report must include plat map and survey (as required), and final loan amount
- Title Exceptions – Refer to Fannie Mae

21.1 DEED RESTRICTIONS

- Deed restrictions that affect transferability of a property are not allowed. Age Restricted communities are allowed

21.2 SOLAR / PACE / HERO LOANS

- Solar leases are allowed if the equipment owner is responsible for any damage because of installation/removal/defect/malfunction, and equipment owner is not listed as loss payee of on the insurance policy
- Borrower to provide copy of lease for refinance. Purchases require a copy of the lease reflecting in the borrower's name to show they qualified for the transfer of solar lease
- Power purchase agreements are eligible
- PACE loans (or any similar loans with payments that are included in property taxes) are not eligible to remain on title; must be paid off through closing

21.3 POWER OF ATTORNEY

- Limited Power of Attorney (POA) is acceptable for executing closing documents, is specific to the transaction, contains an expiration date, initial application is signed by the borrower executing the POA
- No POA may be used for cash-out transactions
- No POA may be used if closing in an entity
- An LOE regarding why a POA is needed must be provided

21.4 HYBRID CLOSINGS

SG will purchase loans using a Hybrid closing method in only certain circumstances.

- E-signed documents may be delivered for all documents in the file with the following exceptions:
  - Original wet signed note and associated endorsement/allonge.
  - Original wet signed mortgage and associated assignments
  - Original wet signed notarized documents along with wet signed notarization
  - Documents that must be dated the same day as a wet-signed document should also be wet signed (e.g. rights of recission)

21.5 E-SIGNATURES

- E-signatures are permitted except for the following documents: Note, Mortgage, Deed of Trust, Power of Attorney, Riders/Addendums, Personal Guaranty, and any state regulated disclosures. These documents require a wet signature

21.6 ESCROW HOLDBACKS

- Escrow Holdbacks are not allowed

21.7 DISASTER POLICY

Post Disaster Inspections are required if a property is in a declared area and appraisal predates the disaster. Listings can be found by visiting http://www.fema.gov/disasters

22 MISCELLANEOUS PROGRAM REQUIREMENTS

22.1 DOCUMENTATION AGE

- All credit documents including the credit report and asset statements must be dated no more than 120 days prior to the note date. The note date is utilized for document expiration for all funding types including escrow and non-escrow fundings

22.2 ASSUMABLE

- Eligible for ARM products after the fixed rate period with prior approval and qualification

22.3 SG EXPOSURE

- Max Financed Properties:
  - Investor Connect: 20 residential
  - Investor Premier: 15 residential
- SGCP exposure to a single borrower/guarantor cannot exceed $5MM UPB or 10 loans
- 3 or more loans in the same condo complex, sub-division, PUD, or the like will be considered on a case-by-case basis
- Commercial properties and residential > 4 units excluded from calculation

APPENDIX A

Ownership and Occupancy Analysis

Loan Application requires (1) Borrower to list all properties in their possession (owned/leased) and (2) residence address history for past 2 years.
Vendor Product will be ordered to validate the Loan Application and will additionally identify 'Properties Ever Owned'
The evaluation should include, but not be limited to the following:

Purchase Transactions:

Occupied Properties

- Review Purchase Contract for 'tenants in possession' language. Review HUD1 for seller credit to buyer for existing tenants prorated rent/security deposits.
- Review Appraisal 'Subject" section for 'Occupant' status (Owner/Tenant/Vacant)
- Second homes are subject to ATR – Properties in vacation locales should be reviewed for listing

Vacant Properties

- Does borrower's profile indicate that the subject property is likely N/O/O (not commutable to the borrowers' place of employment, not appropriate to accommodate borrower's family – size, bedroom count, etc., not consistent with borrower's net worth)?
- Is the subject consistent with the borrower's portfolio of other properties owned?
- Review PITI for Subject – is it greater than borrower's current rent/mortgage

Refinance Transactions:

- Review payoff statement mailing address of the borrower- should not be the same as the subject property
- Review address on credit report to determine if borrower ever claimed subject property as primary.
- If borrower claims they are departing the subject property and keeping as rental, request purchase contract or lease for proposed new housing and review for reasonableness of move up in size, room count, value, etc.
- Review Appraisal 'Subject" section for 'Occupant' status (Owner/Tenant/Vacant)
- Review for Homestead in homestead states

EXHIBIT 1

BUSINESS PURPOSE & OCCUPANCY AFFIDAVIT (the "Affidavit")

LOAN NO: ____ (the "Loan")
BORROWER(S): ____________________________________
PROPERTY ADDRESS: ______________________________ (the "Property")

I, the undersigned borrower(s), hereby declare that the following is true and correct:

1. **I have applied for this Loan and am seeking financing for the Property for <u>business purposes only</u>.** I do not intend to use the proceeds of the Loan for personal, family, or household purposes.
2. **The proceeds of the loan will be used to purchase, improve, maintain the Property, funding business operations, or other commercial ventures and I intend to operate the Property as one or more rental units for profit.** If I have not executed a lease with a tenant (or tenants) at or before closing of the Loan, I intend to, and will, use commercially reasonable methods and effort to obtain a tenant (or tenants) for the Property following closing of the Loan.
3. **Neither I nor any family member intend or expect to occupy the Property at any time. I will not, under any circumstances, occupy the Property at any time while the Loan remains outstanding.** In addition, I will not claim the Property as my primary or secondary residence for any purposes for the duration of my Loan. I now reside, and for the duration of my Loan will continue to reside, elsewhere.
4. **I understand that Lender originating the Loan in reliance upon this Affidavit.** If this Affidavit is not true and correct, and in consideration of Lender making the Loan, I agree to indemnify Lender and its agents, affiliates, subsidiaries, parent companies, successors and assigns and hold them harmless from and against any and all loss, damage, liability or expense, including costs and reasonable attorneys' fees, which they may incur as a result of or in connection with my misrepresentation. I further understand that any misrepresentation in this Affidavit will constitute an Event of Default under my Loan Documents, and may result in the immediate acceleration of my debt and the institution of foreclosure proceedings, eviction, and any other remedies allowable by law.
5. **I understand that the agreements and covenants contained herein shall survive the closing of the Loan.**
6. **I understand that, based on the contents of this Affidavit, the Loan is a <u>business-purpose loan</u> secured by non-owner-occupied real property.** I understand that this means that the Loan may not be subject to the requirements of certain federal and state consumer protection, mortgage lending, or other laws, including but not limited to the provisions of the federal Truth-in-Lending Act (15 U.S.C. §§ 1601 *et seq*.) and its implementing Regulation Z (12 C.F.R. Part 1026), and that my ability to avail myself of protections offered under federal and state laws for consumer-purpose residential mortgage loans may be limited.
7. **I understand that any false statements, misrepresentations, or material omissions I make in this Affidavit may result in civil and criminal penalties.**

Initial(s):

------- ___**The Property is not and will not be occupied by me or any member of the LLC or any family member.**

Borrower(s) / Borrowing Entity Members:

______________________________________ Date ____ NOTARY PUBLIC

______________________________________ Date ____

Exhibit 2

GUARANTY

This GUARANTY dated as of _______________ ___, 20__ (this "Guaranty"), is made by [INSERT NAME OF GUARANTOR], [an individual resident] of the state of [INSERT STATE OF RESIDENCE OR ORGANIZATION/INCORPORATION] ("Guarantor"), in favor of [INSERT LENDER NAME], a [INSERT STATE OF ORGANIZATION/INCORPORATION] [INSERT ENTITY TYPE] , as lender under the Note (as defined below) (together with its permitted successors and assigns, collectively, "Lender").

W I T N E S S E T H:

WHEREAS, Lender is making a loan to [INSERT BORROWER NAME], a [INSERT STATE OF ORGANIZATION/INCORPORATION] [INSERT ENTITY TYPE] ("Borrower") in the original principal amount of [_________________] and 00/100 Dollars ($[_________________].00) (the "Mortgage Loan") as evidenced by (i) that certain promissory note dated the date hereof, executed by Borrower and made payable to the order of Lender in the amount of the Mortgage Loan (as amended, restated, replaced, supplemented or otherwise modified from time to time, the "Note") and (ii) that certain Mortgage, Deed of Trust, Deed to Secure Debt or Security Deed dated the date hereof, by Borrower in favor of Lender (as amended, restated, replaced, supplemented or otherwise modified from time to time, the "Security Instrument"). The Note and the Security Instrument, together with all riders thereto and related certificates and ancillary documents, are collectively referred to herein as the "Loan Documents".

WHEREAS, pursuant to the Security Instrument, Borrower's obligations under the Loan Documents will be secured by, among other things, the real property described in the Security Instrument (the "Property").

WHEREAS, Guarantor is a direct or indirect owner of an equity interest in Borrower, and accordingly will derive material direct and indirect financial and other benefits from the transactions contemplated by the Note and the other Loan Documents.

WHEREAS, to induce Lender to make the Mortgage Loan, Guarantor has agreed to execute and deliver this Guaranty.

NOW, THEREFORE, in consideration of the covenants set forth in this Guaranty, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto hereby agree, represent and warrant as follows;

ARTICLE 1

NATURE AND SCOPE OF GUARANTY

Section 1.1 Guaranty of Obligation.

Guarantor hereby irrevocably and unconditionally guarantees the due and prompt payment and performance in full when due, whether at maturity or earlier, by reason of acceleration or otherwise, and at all times thereafter, of the following (the "Guaranteed Obligations"):

(a) the principal of, interest on, and all other amounts due at any time under the Note or any other Loan Document, including prepayment penalties, late payment charges, interest charged at the default rate (if applicable), and accrued interest as provided in the Loan Documents (including interest that may accrue during the pendency of any proceeding under Bankruptcy Laws as described below), advances, costs and expenses to perform the obligations of Borrower or to protect the Property or the security of the Security Instrument;

(b) all other covenants, agreements, liabilities, obligations (including indemnity obligations and any other monetary obligations) of Borrower under the Loan Documents; and

(c) all expenses and costs, including reasonable attorneys' fees and expenses, fees and out-of-pocket expenses of expert witnesses and costs of investigation, incurred by Lender as a result of any default under the Loan Documents or in connection with efforts to collect any amount due under the Loan Documents, or to enforce the provisions of the Loan Documents, including those incurred in post-judgment collection efforts and in any bankruptcy or insolvency proceeding or any judicial or non judicial foreclosure proceeding or other exercise by Lender of its rights and remedies under any Loan Document or any transfer in lieu of foreclosure (a "Foreclosure Event"), including any action for relief from the automatic stay of any bankruptcy proceeding or Foreclosure Event, to the extent permitted by law.

Without limiting the generality of the foregoing, Guarantor's liability shall extend to all amounts that constitute part of the Guaranteed Obligations and would be owed by Borrower to Lender under the Loan Documents but for the fact that they are unenforceable or not allowable due to the existence of a proceeding under Title 11 of the United States Code, 11 U.S.C. § 101 *et seq.*, as the same may be amended from time to time, and any successor statute or statutes and all rules and regulations from time to time promulgated thereunder, and any comparable foreign laws relating to bankruptcy, insolvency or creditors' rights or any other Federal or state bankruptcy or insolvency law (collectively, "Bankruptcy Laws").

Section 1.2 Nature of Guaranty.

Guarantor hereby irrevocably and unconditionally covenants and agrees that it is liable for the Guaranteed Obligations as a primary obligor. This Guaranty is an irrevocable, absolute, unconditional, continuing guaranty of payment and performance and not merely a guaranty of collection. This Guaranty may not be revoked by Guarantor and shall continue to be effective with respect to any Guaranteed Obligations arising or created after any attempted revocation by Guarantor. If Guarantor is a married person, and the state of residence of Guarantor or Guarantor's spouse is a community property jurisdiction, Guarantor agrees that Lender may satisfy Guarantor's obligations under this Guaranty to the extent of all of Guarantor's separate property and Guarantor's interest in any community property.

Section 1.3 Survival of Guaranty.

This Guaranty is a continuing guaranty and shall remain in full force and effect until the repayment and performance in full of the Guaranteed Obligations (subject to Section 1.8). The obligations of Guarantor under this Guaranty shall survive any Foreclosure Event, and any release or reconveyance of the Security Instrument or any release of any other security or guaranty for the Mortgage Loan.

Section 1.4 Obligations Unsecured.

The obligations of Guarantor under this Guaranty shall not be secured by the Security Instrument or the other Loan Documents and shall not be obligations of Borrower notwithstanding anything to the contrary in any other Loan Document.

Section 1.5 Payment By Guarantor.

If all or any part of the Guaranteed Obligations is or shall give rise to a monetary obligation, and such monetary obligation shall not be punctually paid when due, Guarantor shall, immediately upon demand by Lender, and without presentment, protest, notice of protest, notice of non-payment, notice of intention to accelerate the maturity, notice of acceleration of the maturity, or any other notice whatsoever, pay in lawful money of the United States, the amount due on the Guaranteed Obligations to Lender at Lender's address as set forth in such demand. Such demand(s) may be made at any time coincident with or after the time for payment of the Guaranteed Obligations.

Section 1.6 No Duty To Pursue Others.

It shall not be necessary for Lender (and Guarantor hereby waives any rights which it may have to require Lender), in order to enforce the obligations of Guarantor hereunder, first to (a) make any demand upon or institute suit or exhaust its remedies against Borrower or others liable for amounts due under the Guaranteed Obligations or any other person or entity, (b) institute suit or exhaust its remedies with respect to the Guaranteed Obligations or any person or entity, (c) enforce Lender's rights against any collateral which shall ever have been given to secure any of the Guaranteed Obligations, (d) enforce Lender's rights against any other guarantor of the Guaranteed Obligations, (e) join Borrower or any others liable on the Guaranteed Obligations in any action seeking to enforce this Guaranty or (f) resort to any other means of obtaining payment of the Guaranteed Obligations. Lender shall not be required to mitigate damages or take any other action to reduce, collect or enforce the Guaranteed Obligations.

Section 1.7 Payment of Expenses.

Guarantor shall, immediately upon demand by Lender, pay all reasonable costs and out-of-pocket expenses (including court costs and attorneys' fees, disbursements, costs and expenses) incurred by Lender in the enforcement hereof or the preservation of Lender's rights hereunder and any and all damages, losses, claims, liabilities and related reasonable costs and out-of-pocket expenses, including court costs and attorneys' fees, disbursements, costs and expenses incurred by Lender arising from any breach or failure to timely perform any provisions of this Guaranty by Guarantor.

Section 1.8 Reinstatement.

In the event that, pursuant to any controlling applicable federal, state and local statutes, regulations, ordinances and administrative rules and orders (that have the effect of law) as well as all applicable final, non-appealable judicial opinions (collectively, "Applicable Law"), including any Bankruptcy Law, or any judgment, order or decision thereunder, Lender must rescind or restore any payment, or any part thereof, received by Lender in satisfaction of the Guaranteed Obligations (including pursuant to any settlement entered into by Lender in its discretion), or if Lender elects to do so upon the advice of its counsel, then all obligations under this Guaranty in respect of such payment shall automatically be reinstated as though such payment had been due but not made and shall remain in full force and effect and any prior release or discharge from the terms of this Guaranty given to Guarantor shall be without effect. It is the intention of Lender and Guarantor that Guarantor's obligations hereunder shall not be discharged except by its performance of such obligations and then only to the extent of such performance.

ARTICLE 2

EVENTS AND CIRCUMSTANCES NOT REDUCING
OR DISCHARGING GUARANTOR'S OBLIGATIONS

Section 2.1 Events and Circumstances.

Guarantor hereby consents and agrees to each of the following, and agrees that Guarantor's obligations under this Guaranty shall not be released, diminished, impaired, reduced or adversely affected by any of the following, and waives any common law, equitable, statutory or other rights (including rights to notice) that Guarantor might otherwise have as a result of or in connection with any of the following:

(a) Modifications. Any renewal, extension, increase, modification, alteration or rearrangement of all or any part of the Guaranteed Obligations, the Loan Documents, or any other document, instrument, contract or understanding between Borrower or Guarantor and Lender, or any other person or entity, pertaining to the Guaranteed Obligations or any failure of Lender to notify Guarantor of any such action.

(b) Adjustment. Any adjustment, indulgence, forbearance or compromise that might be granted or given by Lender to Borrower or Guarantor.

(c) Financial Condition. The commencement, filing or continuation of any voluntary or involuntary bankruptcy, insolvency, reorganization, arrangement, readjustment, assignment for the benefit of creditors, composition, receivership, liquidation, marshaling of assets and liabilities or similar events or proceedings with respect to Borrower, Guarantor or any other person or entity, or any of their respective property or creditors or any action taken by any trustee or receiver or by any court in such proceeding; or the making of a general assignment for the benefit of creditors by Borrower, Guarantor or any other person or entity; or any sale, lease or transfer of any or all of the assets of Borrower, Guarantor or any other person or entity.

(d) Invalidity of Guaranteed Obligations. The invalidity, illegality or unenforceability of all or any part of the Guaranteed Obligations, or any document or agreement executed in connection with the Guaranteed Obligations, for any reason whatsoever, including the fact that (a) the Guaranteed Obligations, or any part thereof, exceeds the amount permitted by law, (b) the act of creating the Guaranteed Obligations or any part thereof is ultra vires, (c) the officers or representatives executing the Loan Documents or otherwise creating the Guaranteed Obligations acted in excess of their authority, (d) the Guaranteed Obligations violate applicable usury laws, (e) Borrower has valid defenses, claims or offsets (whether at law, in equity or by agreement) which render the Guaranteed Obligations wholly or partially unenforceable or uncollectible from Borrower, other than payment and performance in full of the Guaranteed Obligations, (f) the creation, performance or repayment of the Guaranteed Obligations (or the execution, delivery and performance of any document or instrument representing part of the Guaranteed Obligations or that was executed in connection with the Guaranteed Obligations, or given to secure the repayment of the Guaranteed Obligations) is illegal, uncollectible or unenforceable, or (g) the Loan Documents have been forged or otherwise are irregular or not genuine or authentic, it being agreed that Guarantor shall remain liable hereon regardless of whether Borrower or any other person or entity be found not liable on the Guaranteed Obligations or any part thereof for any reason.

(e) Release of Liability. Any full or partial release of the liability of Borrower on the Guaranteed Obligations, or any part thereof, or of any co-guarantors, or any other person or entity now or hereafter liable therefor, whether directly or indirectly, jointly, severally, or jointly and severally, to pay, perform, guarantee or assure the payment of the Guaranteed Obligations, or any part thereof, it being acknowledged and agreed by Guarantor that (a) Guarantor may be required to pay the Guaranteed Obligations in full without assistance or support of Borrower or any other person or entity and (b) Guarantor has not been induced to enter into this Guaranty on the basis of a contemplation, belief, understanding or agreement that any other person or entity will be liable to pay or perform the Guaranteed Obligations, or that Lender will look to any other person or entity to pay or perform the Guaranteed Obligations.

(f) Other Collateral. The taking or accepting of any other security, collateral or guaranty, or other assurance of payment, for all or any part of the Guaranteed Obligations.

(g) Release of Collateral. Any release, surrender, exchange, subordination, deterioration, waste, loss or impairment (including negligent, willful, unreasonable or unjustifiable impairment) of any collateral, property or security at any time existing in connection with, or assuring or securing payment of, all or any part of the Guaranteed Obligations, or any failure to perfect a lien in any collateral.

(h) Care and Diligence. The failure of Lender or any other person or entity to exercise diligence or reasonable care in the enforcement of its rights under the Loan Documents or the preservation, protection, enforcement, sale or other handling or treatment of all or any part of any collateral, property or security, including but not limited to any neglect, delay, omission, failure or refusal of Lender (a) to take or prosecute any action for the enforcement or collection of any of the Guaranteed Obligations or (b) to foreclose, or initiate any action to foreclose, or, once commenced, prosecute to completion any action to foreclose upon any security therefor, or (c) to take or prosecute any action in connection with any instrument or agreement evidencing or securing all or any part of the Guaranteed Obligations.

(i) Unenforceability. The fact that any collateral, security, security interest or lien contemplated or intended to be given, created or granted as security for the repayment of the Guaranteed Obligations, or any part thereof, shall not be properly perfected or created, or shall prove to be unenforceable or subordinate to any other security interest or lien, it being acknowledged and agreed by Guarantor that it is not entering into this Guaranty in reliance on, or in contemplation of the benefits of, the validity, enforceability, collectability or value of any of the collateral for the Guaranteed Obligations or the priority of any security interest or lien therein.

(j) Offset. Any existing or future offset, claim or defense of Borrower, Guarantor or any other person or entity, against Lender, Borrower or any other person or entity or against payment or performance of the Guaranteed Obligations, whether such offset, claim or defense arises in connection with the Guaranteed Obligations (or the transactions creating the Guaranteed Obligations) or otherwise, other than the payment and performance of the Guaranteed Obligations in full.

(k) Compliance with Loan Documents. Any failure, omission or delay on the part of Borrower, Guarantor, any other guarantor of the Guaranteed Obligations or Lender to conform or comply with any term of any of the Loan Documents.

(l) Corporate Events. The reorganization, merger or consolidation of Borrower into or with any other person or entity; or any dissolution of Borrower or any other entity; or any changes in the shareholders, partners or members of Borrower or any other person or entity; or any reorganization of Borrower or any other person or entity; or any other change in the relationship between Borrower, Guarantor or any other guarantor of the Guaranteed Obligations, or any termination of such relationship.

(m) Preference. Any payment by Guarantor to Lender that is held to constitute a preference under Bankruptcy Laws, or for any reason Lender is required to refund such payment or pay such amount to any other person or entity.

(n) Other Actions Taken or Omitted. Any other action taken or omitted to be taken with respect to the Loan Documents, the Guaranteed Obligations, or the security and collateral therefor, whether or not such action or omission prejudices Guarantor or any other person or entity or increases the likelihood that Guarantor will be required to pay the Guaranteed Obligations pursuant to the terms hereof.

It is the unambiguous and unequivocal intention of Guarantor that it shall be obligated to pay the Guaranteed Obligations when due, notwithstanding any occurrence, circumstance, event, action, or omission whatsoever, whether contemplated or not contemplated, and whether or not otherwise or particularly described herein, which obligation shall be deemed satisfied only upon the full and final payment and performance of the Guaranteed Obligations.

ARTICLE 3

GUARANTOR WAIVERS

Section 3.1 Waiver of Applicable Laws.

Guarantor hereby irrevocably waives the benefit of all principles and provisions of law, statutory or otherwise, which are or might be in conflict with the terms of this Guaranty (and agrees that Guarantor's obligations shall not be affected by any circumstances, whether or not referred to in this Guaranty, which might otherwise constitute a legal or equitable discharge of a surety or a guarantor) and the benefits of any right of discharge under any and all statutes or other laws relating to guarantors or sureties and any other rights of sureties and guarantors.

Section 3.2 Waiver of Notice.

Guarantor hereby waives all notices with respect to the Loan Documents and this Guaranty that may be required by statute, rule of law or otherwise to preserve Lender's rights against Guarantor under this Guaranty, including notice of (a) any loan or other indebtedness of Borrower, (b) acceptance of this Guaranty, (c) the execution and delivery by Borrower of any documents or instruments relating to the Mortgage Loan or in connection with the Property or any collateral, (d) Lender's transfer or disposition of the Guaranteed Obligations, or any part thereof, (e) the occurrence of any default under the Loan Documents, (f) dishonor, (g) notice of intent to accelerate, notice of acceleration, (h) sale or foreclosure (or posting or advertising for sale or foreclosure) of any collateral under the Loan Documents, (i) protest, proof of non-payment or default by Borrower or any other guarantor of the Guaranteed Obligations and (j) any other action at any time taken or omitted by Lender, and, generally, all demands and notices of every kind in connection with this Guaranty or the other Loan Documents.

Section 3.3 Changes in the Guaranteed Obligations.

At any time or from time to time and any number of times, without notice to Guarantor and without releasing, discharging or affecting the liability of Guarantor hereunder: (a) the time for payment of the principal of, interest on or other amounts payable under the Mortgage Loan may be extended or the Mortgage Loan may be renewed in whole or in part; (b) the rate of interest on or period of amortization of the Mortgage Loan or the amount of the monthly principal payments payable under the Loan Documents may be modified; (c) the time for Borrower's performance of or compliance with any covenant or agreement contained in any Loan Document, whether presently existing or hereinafter entered into, may be extended or such performance or compliance may be waived; (d) the maturity of the Mortgage Loan may be accelerated as provided in the Loan Documents; (e) any or all payments due under the Loan Documents may be reduced; (f) any Loan Document may be modified or amended by Lender and Borrower in any respect, including an increase in the principal amount of the Mortgage Loan; (g) any amounts held under the Loan Documents may be released; (h) the payment of the principal of, interest on or other amounts payable under Mortgage Loan or any security for the Mortgage Loan, or both, may be subordinated to the right to payment or the security, or both, of any other present or future creditor of Borrower; (i) any payments made by Borrower to Lender may be applied to the principal of; interest on or other amounts payable under the Mortgage Loan in such order and priority as Lender determines; (j) Lender may foreclose on any collateral securing the Mortgage Loan by one or more judicial or non-judicial sales, accept an assignment of any such collateral in lieu of foreclosure; and (k) any other terms of the Loan Documents may be modified as required by Lender.

ARTICLE 4

REPRESENTATIONS AND WARRANTIES

Section 4.1 Representations and Warranties.

To induce Lender to enter into the Loan Documents and extend credit to Borrower, Guarantor represents and warrants to Lender as of the date hereof as follows:

(a) This Guaranty constitutes a legal, valid and binding obligation of Guarantor and is enforceable against Guarantor in accordance with its terms, subject only to applicable bankruptcy, insolvency and similar laws affecting rights of creditors generally, and subject, as to enforceability, to general principles of equity (regardless of whether enforcement is sought in a proceeding in equity or at law).

(b) The execution, delivery and performance of this Guaranty by Guarantor (i) will not result in any violation of the provisions of any Applicable Laws, (ii) will not conflict with or result in a breach of any of the terms or provisions of, or constitute a default under the terms of any indenture, mortgage, deed of trust, deed to secure debt, loan agreement, management agreement or other agreement or instrument to which Guarantor is a party or to which any of Guarantor's property or assets is subject, and (iii) will not result in or require the creation or imposition of any lien upon or with respect to any of the assets of Guarantor.

(c) Any consent, approval, authorization, order, registration or qualification of or with a governmental authority or other person or entity required for the execution, delivery and performance by Guarantor of this Guaranty has been obtained and is in full force and effect.

(d) Guarantor is an affiliate of Borrower, is the owner of a direct or indirect equity interest in Borrower, and has received, or will receive, direct and indirect material financial and other benefits from the making of this Guaranty.

(e) Guarantor is familiar with, and has independently reviewed books and records regarding, the financial condition of Borrower and is familiar with the value of any and all collateral intended to be created as security for the payment of the Guaranteed Obligations; provided, however, Guarantor is not relying on such financial condition or the collateral as an inducement to enter into this Guaranty.

(f) Neither Lender nor any of its representatives has made any representation, warranty or statement to Guarantor in order to induce Guarantor to execute this Guaranty and Guarantor has not relied on Lender for any guidance or expertise in analyzing the financial or other consequences of the transactions contemplated by this Guaranty or any other Loan Document or otherwise relied on Lender in any manner in connection with interpreting, entering into or otherwise in connection with this Guaranty, any other Loan Document or any of the matters contemplated hereby or thereby.

(g) Guarantor has received a copy of each of the Loan Documents and this Guaranty. Guarantor has read this Guaranty and each of the other Loan Documents and understands the nature and structure of the transactions contemplated by this Guaranty and the other Loan Documents. Guarantor understands the risks inherent in such transactions, including the risk of loss of all or any part of the Property or of the assets of Guarantor. Guarantor has had the opportunity to consult with its legal counsel prior to entering into the Guaranty and Guarantor availed himself or herself of such opportunity to the extent he or she desired.

(h) There are no actions, suits or proceedings at law or in equity by or before any governmental authority, arbitrator or other entity now pending or, to Guarantor's knowledge, threatened against or affecting Guarantor.

(i) Guarantor has (i) not entered into the transaction contemplated by this Guaranty with the actual intent to hinder, delay or defraud any creditor and (ii) received reasonably equivalent value in exchange for its obligations under this Guaranty. After giving effect to this Guaranty, (x) the fair saleable value of

Guarantor's assets will exceed its total liabilities, (y) Guarantor's assets will not constitute unreasonably small capital to carry out its business as conducted or as proposed to be conducted and (z) Guarantor will be able to pay its liabilities as they mature. In the last ten years, Guarantor has not been the subject of or a party to any pending bankruptcy, reorganization, receivership or other insolvency proceeding or any dissolution or liquidation (each, an "Event of Bankruptcy"). Guarantor is not contemplating an Event of Bankruptcy and to Guarantor's knowledge no other person or entity is contemplating an Event of Bankruptcy in respect of Guarantor.

ARTICLE 5

AGREEMENT TO PAY, SUBROGATION AND SUBORDINATION

Section 5.1 Subordination of All Guarantor Claims.

(a) Without limiting any other right that Lender has at law or in equity against Guarantor, if Borrower fails to pay any Guaranteed Obligation when and as due, whether at maturity, by acceleration, after notice of prepayment or otherwise, Guarantor agrees to promptly pay the amount of such unpaid Guaranteed Obligations to Lender in cash. Upon payment by Guarantor of any sums to Lender as provided herein, all of Guarantor's rights of subrogation, exoneration, contribution, reimbursement, indemnity or otherwise arising therefrom against Borrower with respect to such sum shall be subordinate and junior in right of payment to the prior indefeasible payment in full in cash of all monetary Guaranteed Obligations. If any payment shall be paid to Guarantor in violation of the immediately preceding sentence on account of such subrogation, exoneration, contribution, reimbursement, indemnity or similar right, such amount shall be held in trust for the benefit of Lender, segregated from other funds of Guarantor, and promptly paid or delivered to Lender in the same form as so received (with any necessary endorsement or assignment) to be credited against the payment of the Guaranteed Obligations, whether due or to become due, in accordance with the terms of the Loan Documents or to be held as collateral for the Guaranteed Obligations.

(b) Guarantor hereby subordinates any and all debts, liabilities and obligations owed to it by Borrower (including all rights and claims of Guarantor against Borrower as a result of Guarantor's payment of all or part of the Guaranteed Obligations) (the "Subordinated Obligations") to the Guaranteed Obligations as follows:

(i) Guarantor shall not accept, demand or take any action to collect any payment on the Subordinated Obligations without the prior written consent of Lender.

(ii) Guarantor agrees that Lender shall be entitled to receive full payment in cash of all Guaranteed Obligations (including interest accruing during the pendency of any proceeding under Bankruptcy Laws, regardless of whether allowed or allowable in such proceeding ("Post-Petition Interest")) in any proceeding under Bankruptcy Laws against Borrower before Guarantor receives any payment on account of any Subordinated Obligations.

(iii) After the occurrence and during the continuance of any default under the Loan Documents (including the commencement and continuation of any proceeding against Borrower or Guarantor under Bankruptcy Laws), Guarantor shall collect, enforce and receive payments on the Subordinated Obligations as trustee for Lender and deliver such payments to Lender on account of the Guaranteed Obligations (including Post-Petition Interest), together with any necessary endorsements or other instruments of transfer, without reducing or affecting the liability of Guarantor under this Guaranty in any respect.

(iv) After the occurrence and during the continuance of any default under the Loan Documents (including the commencement and continuation of any proceeding against Borrower or Guarantor under Bankruptcy Laws), Lender is authorized and empowered (but not obligated), in its discretion, (x) in the name of Guarantor, to collect and enforce, and to submit claims in respect of, Subordinated Obligations and to apply any amount so received to the Guaranteed Obligations (including Post-Petition Interest), and (y) to require Guarantor (A) to collect and enforce and to submit claims in respect of, Subordinated Obligations and (B) to pay any amounts received on such obligations to Lender for application to the Guaranteed Obligations (including Post-Petition Interest).

Section 5.2 Payments Held in Trust.

In the event that, notwithstanding anything to the contrary in this Guaranty, Guarantor should receive any funds, payments, claims and/or distributions which are prohibited by this Guaranty, Guarantor agrees to hold in trust for Lender an amount equal to the amount of all funds, payments, claims or distributions so received, and agrees that it shall have absolutely no dominion over the amount of such funds, payments, claims and/or distributions so received except to pay such funds, payments, claims and/or distributions promptly to Lender, and Guarantor covenants promptly to pay the same to Lender.

Section 5.3 Liens Subordinate.

Guarantor agrees that no liens, security interests, judgment liens, charges or other encumbrances shall exist upon Borrower's assets securing payment of the Subordinated Obligations and any such liens, security interests, judgment liens, charges or other encumbrances which may exist shall be and remain inferior and subordinate to any liens, security interests, judgment liens, charges or other encumbrances upon Borrower's assets securing payment of the Guaranteed Obligations, regardless of whether such encumbrances in favor of Guarantor or Lender presently exist or are hereafter created or attach. Without the prior written consent of Lender, Guarantor shall not (a) exercise or enforce any creditor's right it may have against Borrower, or (b) foreclose, repossess, sequester or otherwise take steps or institute any action or proceedings (judicial or otherwise, including the commencement of, or joinder in, any proceeding under Bankruptcy Laws) to enforce any liens, mortgages, deeds of trust, deeds to secure debt, security interests, collateral rights, judgments or other encumbrances on assets of Borrower held by Guarantor.

ARTICLE 6

MISCELLANEOUS

Section 6.1 Waiver; Amendment.

No failure to exercise, and no delay in exercising, on the part of Lender, any right hereunder shall operate as a waiver thereof, nor shall any single or partial exercise thereof preclude any other or further exercise thereof or the exercise of any other right. The rights of Lender hereunder shall be in addition to all other rights provided by law. No modification, amendment, extension, discharge, termination or waiver of any provision of this Guaranty, nor consent to any departure by Guarantor or Lender therefrom, shall in any event be effective unless the same shall be in a writing signed by the party or parties against whom enforcement is sought, and then any such waiver or consent shall be effective only in the specific instance, and for the purpose, for which given. No notice or demand given in any case shall constitute a waiver of the right to take other action in the same, similar or other instances without such notice or demand.

Section 6.2 Notices.

All notices given by Guarantor or Lender in connection with this Guaranty must be in writing. Any notice to Guarantor in connection with this Guaranty shall be deemed to have been given to Guarantor when mailed by first class mail or when actually delivered to Guarantor's notice address if sent by other means. Guarantor's notice address shall be the address set forth on the signature page hereto unless Guarantor has designated a substitute notice address by notice to Lender. Guarantor shall promptly notify Lender of Guarantor's change of address. If Lender specifies a procedure for reporting Guarantor's change of address, then Guarantor shall only report a change of address through that specified procedure. There may be only one designated notice address under this Guaranty at any one time. Any notice to

Lender shall be given by delivering it or by mailing it by first class mail to Lender's address stated in Section 5(A) of the Note unless Lender has designated another address by notice to Guarantor. Any notice in connection with this Guaranty shall not be deemed to have been given to Lender until actually received by Lender. If any notice required by this Guaranty is also required under Applicable Law, the Applicable Law requirement will satisfy the corresponding requirement under this Guaranty.

Section 6.3 Governing Law. This Guaranty shall be governed by federal law and the law of the jurisdiction in which the Property is located (the "Property Jurisdiction") without regard to the application of choice of law principles that would result in the application of the laws of another jurisdiction.

Section 6.4 Venue. Guarantor agrees that any controversy arising under or in relation to this Guaranty shall be litigated exclusively in the Property Jurisdiction. The state and federal courts and authorities with jurisdiction in the Property Jurisdiction shall have exclusive jurisdiction over all controversies that arise under or in relation to this Guaranty or any other Loan Document with respect to the subject matter hereof. Guarantor irrevocably consents to service, jurisdiction and venue of such courts for any such litigation and waives any other venue to which it might be entitled by virtue of domicile, habitual residence or otherwise.

Section 6.5 WAIVER OF JURY TRIAL. **TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, GUARANTOR (A) AGREES NOT TO ELECT A TRIAL BY JURY WITH RESPECT TO ANY ISSUE ARISING OUT OF THIS GUARANTY OR ANY LOAN DOCUMENT OR THE RELATIONSHIP BETWEEN THE PARTIES AS GUARANTOR AND LENDER THAT IS TRIABLE OF RIGHT BY A JURY AND (B) WAIVES ANY RIGHT TO TRIAL BY JURY WITH RESPECT TO SUCH ISSUE TO THE EXTENT THAT ANY SUCH RIGHT EXISTS NOW OR IN THE FUTURE. THIS WAIVER OF RIGHT TO TRIAL BY JURY IS SEPARATELY GIVEN BY GUARANTOR, KNOWINGLY AND VOLUNTARILY WITH THE BENEFIT OF COMPETENT LEGAL COUNSEL**.

Section 6.6 Severability. Wherever possible, each provision of this Guaranty shall be interpreted in such manner as to be effective and valid pursuant to Applicable Law, but if any provision of this Guaranty shall be prohibited by or invalid pursuant to Applicable Law, such provision shall be ineffective to the extent of such prohibition or invalidity, without invalidating the remainder of such provision or the remaining provisions of this Guaranty.

Section 6.7 Prior Agreements. **THIS GUARANTY REPRESENTS THE FINAL AGREEMENT OF GUARANTOR WITH RESPECT TO THE SUBJECT MATTER HEREOF AND MAY NOT BE CONTRADICTED BY EVIDENCE OF PRIOR, CONTEMPORANEOUS OR SUBSEQUENT ORAL AGREEMENTS. THERE ARE NO UNWRITTEN ORAL AGREEMENTS BETWEEN THE PARTIES**. All prior or contemporaneous agreements, understandings, representations and statements, oral or written, relating to the subject matter hereof are superseded by this Guaranty.

Section 6.8 Defined Terms; Construction.

(a) Capitalized terms used herein without definition shall have the meanings ascribed thereto in the other Loan Documents.

(b) Any reference in this Guaranty to a "Section" shall, unless otherwise explicitly provided, be construed as referring to a Section of this Guaranty.

(c) The Article and Section headings in this Guaranty are included herein for convenience of reference only and shall not constitute a part of this Guaranty for any other purpose.

(d) Any reference in this Guaranty to a statute or regulation shall be construed as referring to that statute or regulation as amended from time to time.

(e) Use of the singular in this Guaranty includes the plural and use of the plural includes the singular.

(f) As used in this Guaranty, the term "including" means "including, but not limited to" or "including, without limitation," and is for example only, and not a limitation.

(g) Whenever Guarantor's knowledge is implicated in this Guaranty or the phrase "to Guarantor's knowledge" or a similar phrase is used in this Guaranty, Guarantor's knowledge or such phrase(s) shall be interpreted to mean to the best of Guarantor's knowledge after reasonable and diligent inquiry and investigation.

(h) Unless otherwise provided in this Guaranty, if Lender's approval, consent, designation, determination, selection, estimate, action or decision is required, permitted or contemplated hereunder, such approval, consent, designation, determination, selection, estimate, action or decision shall be made in Lender's sole and absolute discretion.

(i) All references in this Guaranty to a separate instrument or agreement shall include such instrument or agreement as the same may be amended or supplemented from time to time pursuant to the applicable provisions thereof.

(j) The term "Borrower" as used herein shall include any new or successor corporation, association, partnership (general or limited), limited liability company, joint venture, trust or other individual or organization formed as a result of any merger, reorganization, sale, transfer, devise, gift or bequest of Borrower or any interest in Borrower.

Section 6.9 Recitals. The recital and introductory paragraphs hereof are a part hereof, form a basis for this Guaranty and shall be considered prima facie evidence of the facts and documents referred to therein.

Section 6.10 Rights and Remedies. If Guarantor becomes liable for any indebtedness owing by Borrower to Lender, by endorsement or otherwise, other than under this Guaranty, such liability shall not be in any manner impaired or affected hereby and the rights of Lender hereunder shall be cumulative of any and all other rights that Lender may ever have against Guarantor. The exercise by Lender of any right or remedy hereunder or under any other instrument, or at law or in equity, shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 6.11 Taxes. Any payments by or on account of any obligation of Guarantor under this Guaranty shall be made without deduction or withholding for any tax; provided, however, that if any law requires deduction or withholding of a tax, such tax shall be deducted and withheld from such payment and paid to the relevant governmental authority in accordance with Applicable Law and the sum payable hereunder shall be increased so that after such deduction or withholding (including deductions or withholdings applicable to additional amounts payable hereunder) Lender receives an amount equal to the sum it would have received had no such deduction or withholding been made; provided, further, that such additional amounts shall not include any taxes measured by net income (however denominated) or franchise taxes imposed on Lender. Guarantor shall promptly indemnify Lender for all such non-excluded taxes (including interest and additions to tax) and related expenses. Guarantor shall promptly deliver evidence satisfactory to Lender of any payments made pursuant to this Section 6.11.

Section 6.12 Assignment. Lender may assign its rights under this Guaranty in whole or in part and, upon any such assignment, all the terms and provisions of this Guaranty shall inure to the benefit of and may be enforced by such assignee to the extent so assigned. Guarantor may not assign its rights, duties and obligations under this Guaranty, in whole or in part, without Lender's prior written consent, and any such assignment shall be deemed void *ab initio*. The terms used to designate any of the parties herein shall be deemed to include the heirs, legal representatives, successors and assigns of such parties.

Section 6.13 Time is of the Essence. Guarantor agrees that, with respect to each and every obligation and covenant contained in this Guaranty, time is of the essence.

Section 6.14 Credit Report. Guarantor acknowledges and agrees that Lender is authorized, no more frequently than once in any twelve (12) month period, to obtain a credit report (if applicable) on Guarantor, the cost of which shall be paid for by Guarantor. Guarantor acknowledges and agrees that Lender is authorized to obtain a credit score (if applicable) for Guarantor at any time at Lender's expense.

Section 6.15 Non-Uniform Provisions. Borrower and Lender further covenant and agree as follows:

[INSERT STATE SPECIFIC PROVISIONS]

(a) The parties executing this Agreement intend to create an instrument executed under seal.

[NO FURTHER TEXT ON THIS PAGE]

IN WITNESS WHEREOF, Guarantor has signed and delivered this Guaranty as of the date first written above, under seal (where applicable). Where Applicable Law so provides, Guarantor intends that this Guaranty shall be deemed to be signed and delivered as a sealed instrument.

GUARANTOR:

______________________(SEAL)
Name:
Title:

Address for Notices to Guarantor:
[INSERT ADDRESS]